

Sir Syed University of Engineering & Technology
Department of Computer Science & Information Technology



HS-411 - Entrepreneurship
Lecture No. 3

**Identifying and Evaluating
Opportunities**

Prepared by: Dr. Engr. M. Nadeem

List of Topic to be Discuss in this lecture

- Explain the difference between opportunities and ideas.
- Describe the three general approaches entrepreneurs use to identify opportunities.
- Discuss the personal characteristics of entrepreneurs that contribute to their ability to recognize business opportunities.
- Identify and describe techniques entrepreneurs use to generate ideas.

What is idea and opportunity in entrepreneurship?

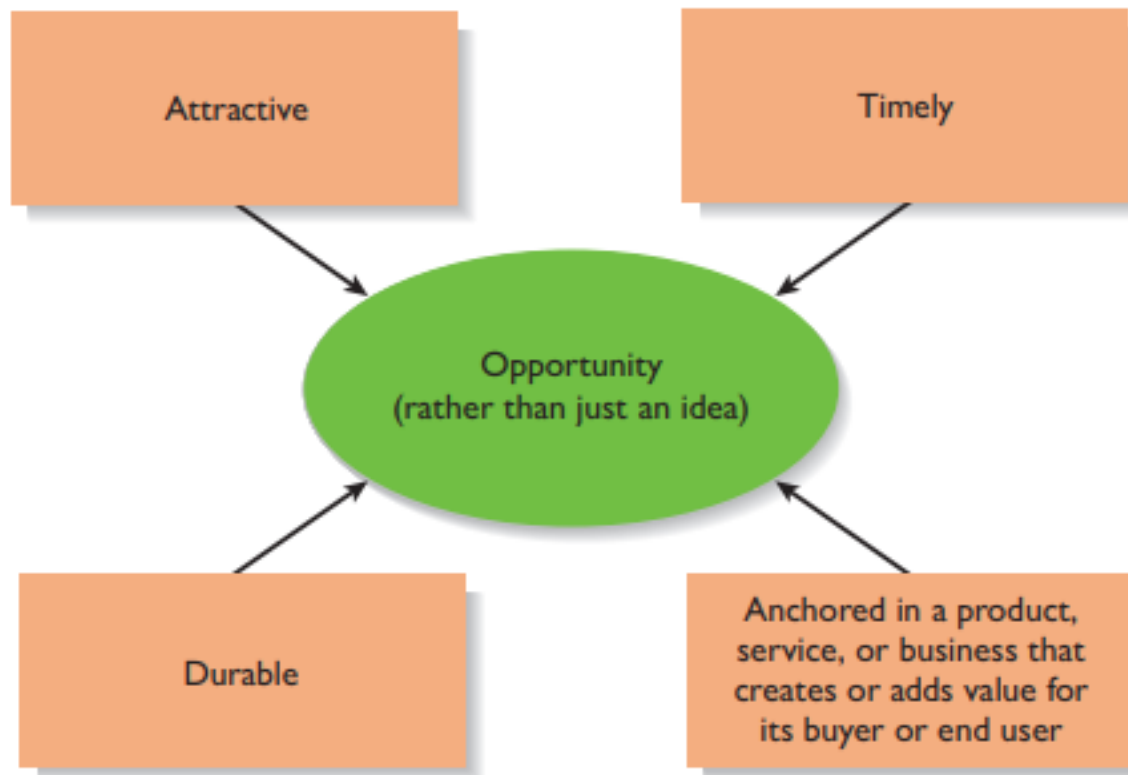
- ❑ In entrepreneurship, an **idea** refers to a concept or a thought that has the potential to solve a problem or meet a need. Ideas can be simple or complex, and they can come from various sources such as personal experiences, market trends, or customer feedback.
- ❑ An idea is the starting point of the entrepreneurial journey, but it's not enough to guarantee success on its own.
- ❑ **Opportunity**, on the other hand, refers to a chance to turn an idea into a viable business. An opportunity is a gap in the market that an entrepreneur can fill with their unique solution.
- ❑ It's a combination of the right timing, market demand, and potential for profit. A successful opportunity aligns with the entrepreneur's vision and goals and provides a path to generate income and create value for customers.
- ❑ In short, an idea is a creative thought, while an opportunity is the potential to turn that thought into a profitable venture.

Key differences between idea and opportunity in entrepreneurship

- ❑ **Nature:** An idea is a creative thought or a concept, while an opportunity is a chance to bring that idea to life and make it a reality.
- ❑ **Potential:** An idea has the potential to solve a problem or meet a need, while an opportunity has the potential to generate income and create value for customers.
- ❑ **Alignment with goals:** Ideas can come from anywhere, but opportunities should align with an entrepreneur's vision and goals.
- ❑ **Market demand:** An opportunity takes into account market demand and potential for profit, while an idea may not.
- ❑ **Timing:** Opportunities are usually driven by timing and the right market conditions, while ideas can be developed at any time.
- ❑ **Viability:** Opportunities are more likely to be viable and profitable than ideas, as they have been assessed for market demand and potential for success.

Four Essential Qualities of an Opportunity

1. **Attractive** – is there a large market that can earn profit?
2. **Timely** – is it needed now?
3. **Durable** – will the need for the product / service continue or is it a fad?
4. **Unique** – anchored in a product, service, or business that creates or adds value for its buyer or end-user



Three Ways to Identify an Opportunity

1. **Observing Trends**
2. **Solving a Problem**
3. **Finding Gaps in the Marketplace**

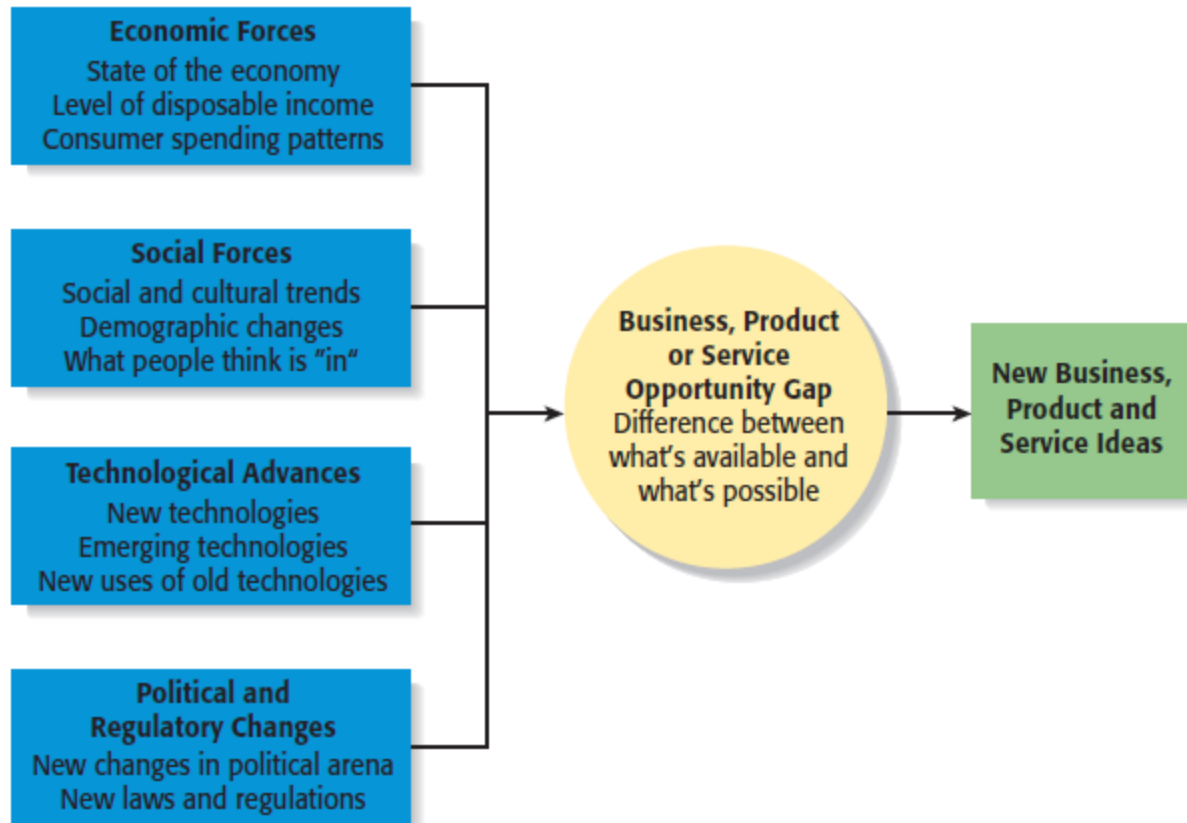
First Approach: Observing Trends

Observing Trends

- Trends create opportunities for entrepreneurs to pursue.
- The most important trends are:
 1. Economic forces
 2. Social forces
 3. Technological advances
 4. Political and regulatory change
- It's important to be aware of changes in these areas

First Approach: Observing Trends

Environmental Trends Suggesting Business or Product Opportunity Gaps



Trend 1: Economic Forces

Economic trends help determine areas that are ripe for new start-ups and areas that start-ups should avoid.

Example of Economic Trend Creating a Favorable Opportunity

- A weak economy favors start-ups that help consumers save money.
- An example is GasBuddy.com, a company started to help consumers save money on gas.

Trend 2: Social Forces

Social trends alter how people and businesses behave and set their priorities. These trends provide opportunities for new businesses to accommodate the changes.

Examples of Social Trends

- Aging of the population.
- The increasing diversity of the workplace.
- Increased participation in social networks.
- Growth in the uses of mobile devices.
- An increasing focus on health and wellness.

Trend 3: Technological Advances

Advances in technology frequently create business opportunities.

Examples of Entire Industries that Have Been Created as the Result of Technological Advances

- Computer industry
- Internet
- Biotechnology
- Digital photography

Trend 3: Technological Advances

Once a technology is created, products often emerge to advance it.

Example: H20Audio

An example is H20Audio, a company started by four former San Diego State University students, that makes waterproof housings and earbuds for the Apple iPhone.

Trend 4: Political Action and Regulatory Changes

Political action and regulatory changes also provide the basis for opportunities.

General Example

Laws to protect the environment have created opportunities for entrepreneurs to start firms that help other firms comply with environmental laws and regulations.

Examples of How Changes in Environmental Trends Provided Openings for New Business and Product Opportunities

Changing Environmental Trend	Resulting New Business, Product, and Service Opportunities	Companies That Resulted
Economic Trends		
Rising personal incomes	Technology products, travel services, organic food	Jawbone, Hipmunk, Whole Food Markets
Baby boomers entering retirement with disposable income	In-home care, health and wellness apps, financial services for older people, travel-related services for older people	Honor, Guardian Medical Monitoring, Betterment, Senior Travel Services
Social Trends		
Increased interest in different, tastier, and healthier food	Healthy-fare restaurants, ethnic packaged foods, craft beer, functional beverages	Froozer, Beyond Meat, Hint (bottled water), Popchips
Increased interest in fitness as the result of new medical information warning of the hazards of being overweight	Fitness centers, pilates and yoga studios, exercise apps, weight-loss programs and apps	SoulCycle, 24 Hour Fitness, Yogaview (Chicago), Peloton, Noom
Technological Advances		
Smartphones	Smartphone operating systems, smartphone apps, smartphone accessories	Android, Instagram, Snapchat, Rokit Boost, iSkin
Wearable technology	Wearable fitness devices, wearable lifestyle devices (like Google Glasses), and wearable tech gadgets	Apple Watch, Spectacles, Oculus Rift, Recon Jet
Political and Regulatory Changes		
Increased EPA and OSHA standards	Consulting companies, software to monitor compliance	MobileEpiphany, SWAC, ESS Group, Air Quality Consultants
Affordable Care Act	Electronic health records, new models of primary care, apps and technologies to deliver care more efficiently	CareCloud, VillageMD, Aledade, Ginger.io, Dispatch

Second Approach: Solving a Problem

Solving a Problem

- ❑ Sometimes identifying opportunities simply involves noticing a problem and finding a way to solve it.
- ❑ These problems can be pinpointed through observing trends and through more simple means, such as intuition, serendipity, or change.
- ❑ Many companies have been started by people who have experienced a problem in their own lives, and then realized that the solution to the problem represented a business opportunity.

Example of Businesses Created to Solve a Problem

Entrepreneur(s)	Year	Problem	Solution	Name of Business That Resulted
Annie Halsall and Sara Maskopf	2015	In an unfamiliar area, there is no easy way for parents to know the retail locations and restaurants that are stroller friendly.	Create an online “Yelp”-like platform that allows parents to rate locations on “child-friendly” attributes	Winnie (www.winnie.com)
David Zhang and Clement Perrot	2014	No way to instantly have a physical photo to share with friends from a picture taken on a smartphone	Create an instant camera case for smartphones that can print a beautiful photo within seconds	Prynt (www.pryntcases.com)
Parking Panda	2011	There is no easy way to find a parking place in a city, particularly for a concert or a major sporting event	Create a web-based platform that allows users to find and reserve guaranteed parking in a city	Parking Panda (www.parkingpanda.com)
Sherwin Sheik	2011	It's not easy to find reliable caregivers for elderly people who would like to stay in their homes, and most professional caregiver services are expensive	Build an online platform that empowers families to easily find and hire caregivers who match their specific needs and budgets	CareLinx (www.carelinx.com)
Perry Chen, Yancey Strickler, and Charles Adler	2009	No easy-to-access platform for funding creative projects, like indie films, record albums, or food-related projects	Create a web-based “crowdfunding” platform that helps artists, musicians, and people involved in other creative projects raise money from the public	Kickstarter

Third Approach: Finding Gaps in the Marketplace

Finding Gaps in the Marketplace

- ❑ A third approach to identifying opportunities is to find a gap in the marketplace.
- ❑ A gap in the marketplace is often created when a product or service is needed by a specific group of people but doesn't represent a large enough market to be of interest to mainstream retailers or manufacturers.
- ❑ Product gaps in the marketplace represent potentially viable business opportunities.

Example of Businesses Created to Fill a Gap in the Marketplace

Gap in the Marketplace	Resulting New Business Opportunity	Name of Businesses That Resulted
No fitness centers that are open 24 hours a day	24-hour fitness centers to accommodate people who work odd hours	Anytime Fitness, 24 Hour Fitness, Snap Fitness
Lack of toys and toy stores that focus on a child's intellectual development	Toy stores, toy manufacturers, websites that sell educational toys, and toy and smartphone app combinations	Wonder Workshop, Little Bits, Osmos Genius Kit, Ubolly
Too few women pursuing careers in engineering	For-profit and non-profit organizations that teach older girls to code, after-school programs that engage school-age girls in engineering-related projects, interactive books and games that interest young girls in engineering	Girls Who Code, Engineering for Kids, GoldieBlox, Roominate
Shortage of clothing stores that sell fashionable clothing for hard-to-fit people	Boutiques and retail stores that sell fashionable clothing for hard-to-fit people, including plus-sized clothing, maternity clothes, or clothing for tall or short people	Casual Male XL, Fashions to Figure, Motherhood Maternity

Personal Characteristics of the Entrepreneur

Characteristics that tend to make some people better at recognizing opportunities than others

- 1. Prior Experience**
- 2. Cognitive Factors**
- 3. Social Networks**
- 4. Creativity**

Prior Experience

Several studies have shown that prior experience in an industry helps an entrepreneur recognize business opportunities.

- By working in an industry, an individual may spot a market niche that is underserved.
- It is also possible that by working in an industry, an individual builds a network of social contacts who provide insights that lead to recognizing new opportunities.

Cognitive Factors

Studies have shown that opportunity recognition may be an innate skill or cognitive process.

- Some people believe that entrepreneurs have a “sixth sense” that allows them to see opportunities that others miss.
- This “sixth sense” is called entrepreneurial alertness, which is formally defined as the ability to notice things without engaging in deliberate search.

Social Networks

- ❑ The extent and depth of an individual's social network affects opportunity recognition.
- ❑ People who build a substantial network of social and professional contacts will be exposed to more opportunities and ideas than people with sparse networks.
- ❑ Research results suggest that between 40% and 50% of people who start a business got their idea via a social contact.
- ❑ **Strong-tie relationships** are characterized by frequent interaction
- ❑ **Weak-tie relationships** are characterized by infrequent interaction.

Social Networks

Why weak-tie relationships lead to more new business ideas than strong-tie relationships

Strong-Tie Relationships

These relationships, which typically form between like-minded individuals, tend to reinforce insights and ideas that people already have.

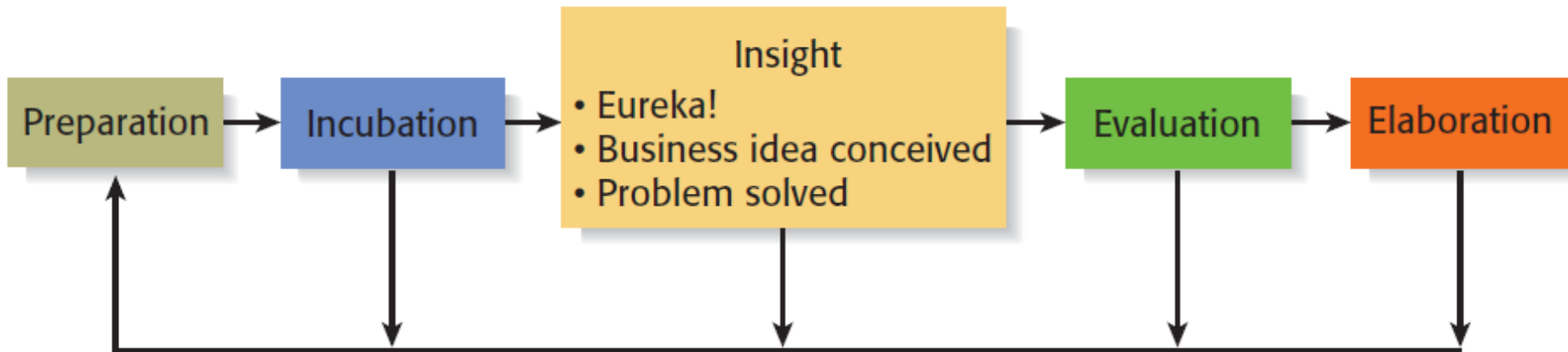
Weak-Tie Relationships

These relationships, which form between casual acquaintances, are not as apt to be between like-minded individuals, so one person may say something to another that sparks a completely new idea.

Creativity

- **Creativity** is the process of generating a novel or useful idea. Opportunity recognition may be, at least in part, a creative process.

For an individual, the creative process can be broken down into five stages as follows:



Five Steps to Generating Creative Ideas

Creativity

Preparation. Preparation is the background, experience, and knowledge that an entrepreneur brings to the opportunity recognition process. Just as an athlete must practice to excel, an entrepreneur needs experience to spot opportunities. Over time, the results of research suggest that as much as 50 to 90 percent of start-up ideas emerge from a person's prior work experience.

Incubation. Incubation is the stage during which a person considers an idea or thinks about a problem; it is the "mulling things over" phase. Sometimes incubation is a conscious activity, and sometimes it is unconscious and occurs while a person is engaged in another activity. One writer characterized this phenomenon by saying that "ideas churn around below the threshold of consciousness."

Creativity

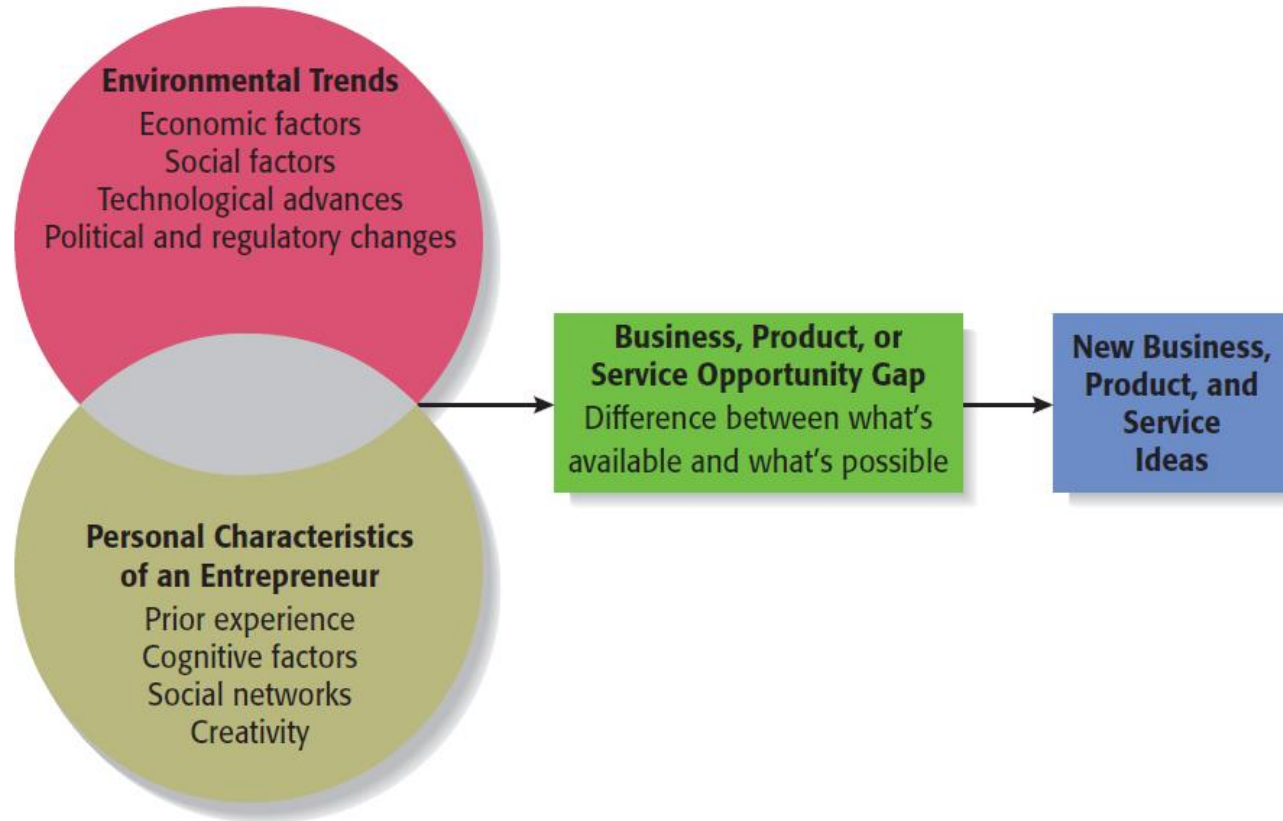
Insight. Insight is the flash of recognition when the solution to a problem is seen or an idea is born. It is sometimes called the “eureka” experience. In a business context, this is the moment an entrepreneur recognizes an opportunity. Sometimes this experience pushes the process forward, and sometimes it prompts an individual to return to the preparation stage. For **example**, an entrepreneur may recognize the potential for an opportunity, but may feel that more knowledge and thought is required before pursuing it.

Evaluation. Evaluation is the stage of the creative process during which an idea is subjected to scrutiny and analyzed for its viability. Many entrepreneurs mistakenly skip this step and try to implement an idea before they’ve made sure it is viable. Evaluation is a particularly challenging stage of the creative process because it requires an entrepreneur to take a candid look at the viability of an idea.

Elaboration. Elaboration is the stage during which the creative idea is put into a final form: The details are worked out and the idea is transformed into something of value, such as a new product, service, or business concept. In the case of a new business, this is the point at which a business plan is written.

Full View of the Opportunity Recognition Process

Depicts the connection between an awareness of emerging trends and the personal characteristics of the entrepreneur



Techniques for Generating Ideas

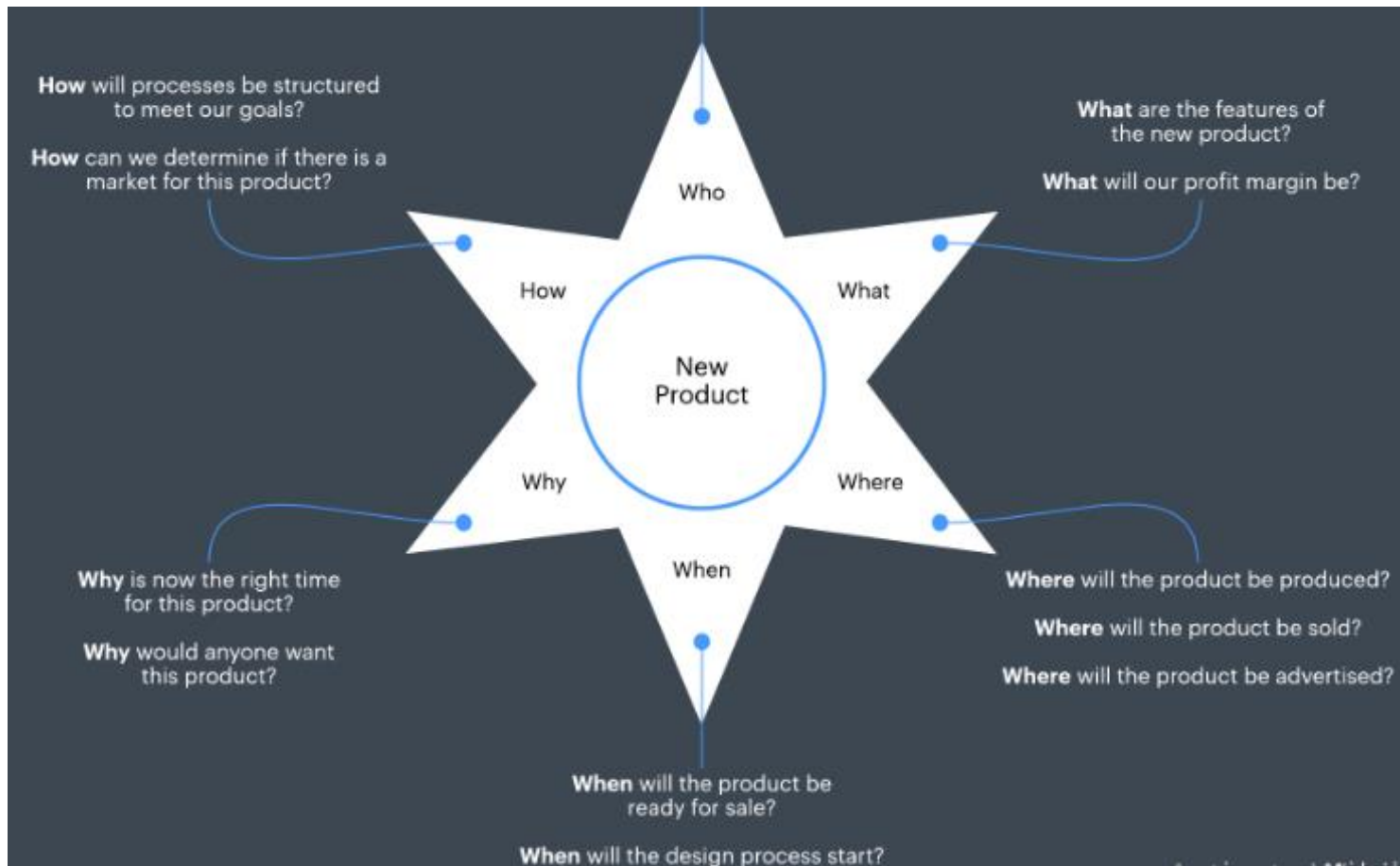
- 1. Eidetic Image Method**
- 2. Starbursting Method**
- 3. SCAMPER Method**

Eidetic Image Method

- Firstly, “eidetic” refers to the ability to see an image or scene with great detail and accuracy, even after the object or scene is no longer present.
- As a brainstorming technique, the eidetic method encourages you to create a vivid mental image of a problem or challenge and then use that image as a starting point for generating creative solutions.
- Let’s imagine we’re in a brainstorming session and thinking about the packaging of our new product. The facilitator asks everyone to close their eyes and imagine its details, colors, shapes, textures, and anything that comes to mind.
- Once everyone has a clear mental image of the packaging, group members will discuss each and use it as a starting point for generating creative ideas and solutions.
- Using AI to enhance images can make your brainstorming diagrams and images clearer and more engaging, thus aiding in the smooth flow of ideas and problem-solving.

Starbursting Method

Like a reporter trying to discover the pivotal information to a story, the **starbursting** method of brainstorming requires you to think about the **who, what, where, when, why, and how** for any new idea. Place your main idea at the center of a star diagram, labeling each point of the star with those **5WH questions**.



SCAMPER Method

The **SCAMPER** method helps you generate ideas for new products and services by encouraging you to ask **seven different types of questions**, which will help you understand how you can innovate and improve existing products, services, problems and ideas.

1. Substitute
2. Combine
3. Adapt
4. Modify (Also Magnify and Minify)
5. Put to another use
6. Eliminate
7. Reverse, reengineer, or rearrange

SCAMPER Method

The **SCAMPER Technique** is a team brainstorming technique used to develop or improve products or services. SCAMPER is an acronym for Substitute, Combine, Adapt, Modify/Magnify, Purpose, Eliminate/Minimize and Rearrange/Reverse.

- **Substitute:** What can be replaced? (for example, components, materials, people)
 - Example: if you were making windows for a children's playhouse, you might substitute glass with plastic (for safety).
- **Combine:** What can be combined? (for example, other features, devices)
 - Example: cell phones have combined phone features with cameras.
- **Adapt:** What can be added? (such as new elements or functions)
 - Example: cars now have built-in wifi.
- **Modify, Magnify, maximize, minimize:** What can be modified? (for example, change the size, shape, color, or other attribute)
 - Example: sunglasses reduced in size for babies or small children.
- **Put to other use (purpose):** Could you put the product to a different use, or use it in another industry?
 - Example: during COVID19 pandemic, coffee filters being used as filters in masks for faces.
- **Eliminate or minimize:** What can be removed or simplified?
 - Example: removing cigarette lighters from cars (to be able to use the space for charging devices?).
- **Reverse, reengineer, or rearrange:** What would happen if you reversed the product's production process?
What can be swapped or flipped?
 - Example: fast food restaurants rearranged the typical eat then pay model to pay then eat.